

Balance Your Checkbook

Balancing your checkbook is a method of verifying that your records (your checkbook register entries) match the bank's records, as shown on your monthly bank statement. The method of accomplishing this task has changed with the use of online banking and personal-finance software, but the pencil and paper method still works. The best time to balance your checkbook is within a few days of receiving your monthly bank statement so there are fewer transactions to wade through. You have sixty days to inform the bank of any errors on your statement (and banks *do* make errors). If you don't balance your checkbook monthly, how will you find an error if it does occur?

How to Balance Your Checkbook

First, determine if there are any checks that haven't cleared the bank yet by sorting your canceled checks in check number order or by using the listing of cleared checks that's printed in a separate section of your bank statement. In your checkbook register, check off each item that cleared the bank, making sure the amount you recorded in your check register agrees with the amount shown on your bank statement. Watch for transposed numbers in your check register—for example, \$97 instead of \$79. Make sure that each deposit shown on your bank statement is recorded in your check register, including direct deposits. Next, go through your deposit slips and paycheck stubs and make sure that all the deposits you made are included on the bank statement. As you verify each deposit, check it off in your check register.

Go through your ATM and debit card receipts and check off each transaction on the bank statement and in your check register. If you're not sure what the transaction is, call your bank immediately. Check your bank statement for fees you may have incurred on your account and interest you may have earned on your balance. Complete the balancing form.